BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

BENCH AT ALLAHABAD

ORIGINAL COMPANY JURISDICTION

In

COMPANY PETITION NO. 273/ALD/2020
connected with
COMPANY APPLICATION NO. 02/ALD/2021
(Under Section 230-232 of the Companies Act, 2013)
In the matter of Companies Act, 2013
And

In the matter of Sections 230-232, Section 66 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016

And

IN THE MATTER OF
Hobbits International Foods Private Limited,
having Corporate Identification Number as U15122UP2010PTC042893 and having its registered office situated at 13.2 Km Stone, Agra Shamsabad Road, Village Naufri, Post Shyamo, Agra, Uttar Pradesh - 283125

.....Petitioner Company No. 1/ "Transferor Company 1"

And

Sunrise Sheetgrah Private Limited,
having Corporate Identification Number as U63090UP2011PTC045596 and having its registered office situated at 13.2 Km Stone, Agra Shamsabad Road, Village Naufri, Post Shyamo, Agra, Uttar Pradesh - 283125

.....Petitioner Company No. 2/ "Transferor Company 2"

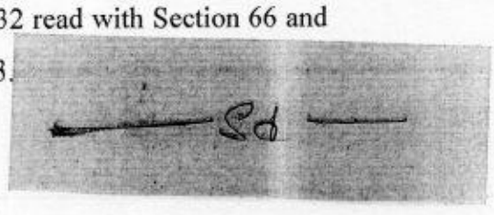
ORDER DELIVERED ON : 30.07.2021

CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies : Mr. Rahul Agarwal, Adv
For ROC : Mr. Shivendra Bahadur, Adv
For Central Government : Mr. Kuldeep Singh, AOL
For Income Tax Depatment : Mr. Gaurav Mahajan , Adv

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

1. The instant joint petition filed under Section 230-232 of the Companies Act, 2013 by the Applicant Companies namely by **HOBBITS INTERNATIONAL FOODS PRIVATE LIMITED and SUNRISE SHEETGRAH PRIVATE LIMITED** for sanctioning the Composite Scheme of Amalgamation amongst Hobbits International Foods Private Limited (Petitioner Company No. 1/ "Transferor Company 1") and Sunrise Sheetgrah Private Limited (Petitioner Company No. 2/ "Transferor Company 2") collectively referred to as the "Transferor Companies" and their respective Shareholders and Creditors ('Composite Scheme') with ITC Limited ("Transferee Company") under Section 230-232 read with Section 66 and other applicable provisions of the Companies Act, 2013.



2. By the present petition, the petitioner companies have prayed for amalgamation of the Transferor Companies into the Transferee Company on a going concern basis. ***The Scheme of Amalgamation is annexed as Annexure-1 to the petition.***

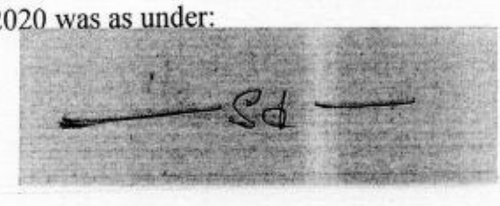
3. It is stated that Hobbits International Foods Private Limited (Petitioner Company No. 1/ "Transferor Company 1") is a company incorporated on December 21, 2010 under the provisions of the Companies Act, 1956, having Corporate Identification Number as U15122UP2010PTC042893 and having its registered office at 13.2 Km Stone, Agra Shamsabad Road, Village Naufri, Post Shyamo, Agra, Uttar Pradesh – 283125. The main objects of the Petitioner Co. No. 1/ "Transferor Company 1" are set out in its Memorandum of Association which is annexed as Annexure-2 to the Company Application No. 273/ALD/2020.

4. The authorised, issued, subscribed and fully paid-up share capital of the Petitioner Company No. 1/"Transferor Company 1" as on July 27, 2020 was as under:

Authorised Share Capital	**Amount (in Rs.)**
10,00,000 equity shares of Rs. 10/- each	1,00,00,000
Total	**1,00,00,000**
Issued, Subscribed and Fully Paid-up Share Capital	**Amount (in Rs.)**
3,30,000 equity shares of Rs. 10/- each	33,00,000
Total	**33,00,000**

5. Sunrise Sheetgrah Private Limited (Petitioner Company No. 2/ "Transferor Company 2"), a company registered under the provisions of the Companies Act, 1956 was incorporated on July 5, 2011 and having Corporate Identification Number as U63090UP2011PTC045596. The registered office of the company is at 13.2 Km Stone, Agra Shamsabad Road, Village Naufri, Post Shyamo, Agra, Uttar Pradesh – 283125. The main objects of the Petitioner Co. No. 2/ "Transferor Company 2" are set out in its Memorandum of Association which is annexed as Annexure-5 to the Company Application No. 273/ALD/2020.

6. The authorised, issued, subscribed and fully paid-up share capital of the Petitioner Company/"Transferor Company 2" as on July 27, 2020 was as under:



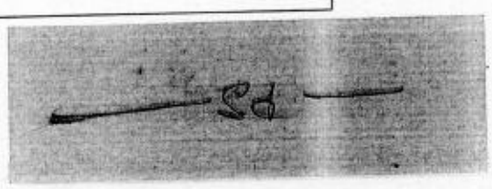
Authorised Share Capital	Amount (in Rs.)
10,00,000 equity shares of Rs. 10/- each	1,00,00,000
Total	**1,00,00,000**
Issued, Subscribed and paid up Share Capital	**Amount (in Rs.)**
5,57,350 equity shares of Rs. 10/- each	55,73,500
Total	**55,73,500**

7. With respect to ITC Limited, it is submitted that it is a company incorporated on August 24, 1910 under the provisions of the Indian Companies Act, 1882 as the Imperial Tobacco Company of India Limited. The name of the Transferee Company was changed to India Tobacco Company Limited on May 20, 1970. On March 30, 1974, name of the Transferee Company was changed to I.T.C. Limited.

8. On September 18, 2001, name of the Transferee Company was changed to its present one, ITC Limited. The Corporate Identification Number of the Transferee Company is L16005WB1910PLC001985. The Transferee Company has its registered office situated at Virginia House, 37, Jawaharlal Nehru Road, Kolkata – 700071 in the State of West Bengal. The Ordinary Shares of the Transferee Company are listed on the BSE Limited, National Stock Exchange of India Limited and the Calcutta Stock Exchange Limited ("Stock Exchanges"). The Global Depository Receipts of the Transferee Company are listed on the Luxembourg Stock Exchange. The main objects of the "Transferee Company" are set out in its Memorandum of Association which is annexed as Annexure-8 to the Company Application No. 273/ALD/2020.

9. The authorized, issued, subscribed and fully paid-up share capital of ITC Limited (Transferee Company) as on July 27, 2020 was as under:

Authorized Share Capital	Amount (in Rs.)
20,00,00,00,000 ordinary shares of Re. 1/- each	2,00,00,00,00,000
Total	**2,00,00,00,00,000**



Issued, Subscribed and paid up Share Capital	Amount (in Rs.)
12,29,57,61,831 ordinary shares of Re. 1/- each fully paid up	12,29,57,61,831
Total	**12,29,57,61,831**

10. This Tribunal, by order dated 08.01.2021 passed in C.A. (CAA) No. 273/ALD/2020 permitted the Transferee Company not to file any application/petition in relation to the present Scheme of Amalgamation, since no compromise or arrangement between the Transferee Company and any classes of persons within the meaning of Section 230-232 was proposed.

11. The counsel for the Petitioner Companies submitted that the amalgamation of the Transferor Companies into the Transferee Company shall provide the following benefits:

a. *Rationalising multiple entities to ensure optimised legal entity structure more aligned with the business by reducing the number of legal entities and re-organising the structure.*

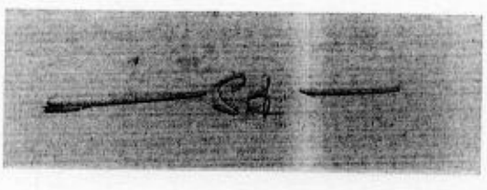
b. *Simplification of business structure by amalgamation of wholly owned subsidiaries.*

c. *Reducing duplication of administrative responsibilities and multiplicity of records and legal and regulatory compliances.*

d. *Reduction of overheads and other expenses facilitating administrative convenience and ensure optimum utilisation of available services and resources.*

e. *Improving and consolidating internal controls and functional integration at various levels of the organisation such as information technology, human resources, finance, legal and general management leading to an efficient organisation capable of responding swiftly to volatile and rapidly changing market scenarios.*

f. *As such the amalgamation will result in the consolidated spices business in the Transferee Company being pursued and developed more effectively and advantageously and enable greater realisation of the potential thereof. The amalgamation will have beneficial results for all the Companies and their stakeholders.*



12. The counsel submitted that in view of the above, the present Scheme proposes amalgamation of the Transferor Companies into the Transferee Company on a going concern basis.

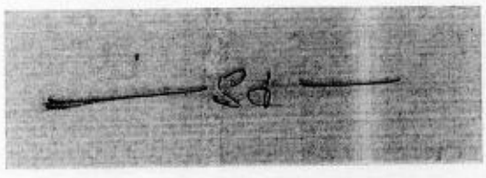
13. The counsel for the Petitioner Companies submitted that the "Transferee Company" being a listed company and the Transferor Companies being its step down subsidiaries, the requirement of taking approval of the Stock Exchanges for the Scheme of Amalgamation has been dispensed with under Regulation 37(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('LODR') read with the Securities and Exchange Board of India Circular dated 03.01.2018 and the Transferee Company is only required to file the Scheme with the Stock Exchanges for disclosure purposes. The letter of the Transferee Company forwarding the Scheme to the Stock Exchanges for disclosure purposes dated 30.09.2020 has been enclosed as Annexure 12 to CA (CAA) 273/ALD/2020.

14. That the Scheme of Amalgamation has been approved by the Board of Directors of the Petitioner Companies by passing resolutions which are annexed as Annexure 2 to the petition.

15. It is also submitted that the Scheme does not involve any compromise with the creditors of any of the Petitioner/Transferor Companies in any manner whatsoever. As such, the Scheme does not in any manner adversely affect the interests of any of the creditors of the Petitioner/Transferor Companies. Due provisions have been made for payment of all their liabilities as and when the same fall due in the usual course.

16. Further, the Auditors of the Petitioner/Transferor Companies have not disclosed any mismanagement in their affairs. No proceedings under Sections 210 - 229 of the Companies Act, 2013 are pending against any of the Applicant Companies.

17. It is also stated that the Petitioner Companies have duly complied with the Accounting Standards. Certificate from the auditors of the Petitioner Companies regarding the accounting treatment under the Scheme being in compliance with the Accounting Standards have been enclosed as Annexures 16-18 to the Company Application No. 273/ALD/2020.



18. It is submitted that none of the Directors, Managing Directors or Managers of the Petitioner Companies have any material interest in the Composite Scheme, except to the extent of their shareholding in such companies.

19. The counsel further submitted that the Petitioner Companies have obtained valuation report by Messrs. Malhotra Rajesh and Co., Chartered Accountants, which is enclosed as Annexure-19 to the Company Application No. 273/ALD/2020.

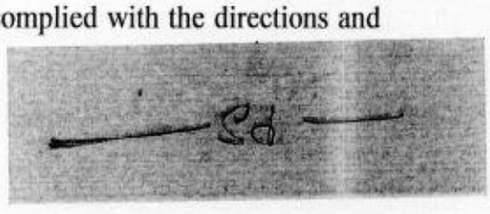
20. A perusal of the present petition discloses that initially the Petitioner Companies have filed Company Application No. 273/ALD/2020 to which this Bench by orders dated January 8, 2021 allowed the prayers and dispensed with the meetings of the equity shareholders and unsecured creditors of the Petitioner Company No. 1/ "Transferor Company 1' and Petitioner Company No. 2/ "Transferor Company 2".

21. This Tribunal further directed the Petitioner Companies to serve notices upon (a) the Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh (c) the Official Liquidator, Allahabad (d) the Income-Tax Authorities and other sectoral regulators, as may be applicable, with a direction that they may submit their representations, if any, within a period of thirty (30) days from the date of receipt of such notice to the Tribunal with a copy of such representations simultaneously being served upon the Petitioner Company, failing which, it shall be presumed that the authorities have no representations to make on the proposals.

22. Pursuant to the order dated January 8, 2021, the Petitioner/Transferor Companies sent notices on 09.01.2021 to the statutory authorities by registered post. Proof of the same is annexed at Annexure No. 4 to the present Company Petition.

23. On 15.01.2021, the Petitioner Companies filed the Second Motion petition being Company Petition No. 02/ALD/2021.

24. The Bench by order dated 19.01.2021 directed the Petitioner/Transferor Companies to serve notices upon Income Tax Authority; Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; Registrar of Companies; and other sectoral authorities for filing their representation and also directed to effect paper publication in "Times of India" in English and "Hindustan" in Hindi having wide circulation in District Agra. The Petitioner/Transferor Companies complied with the directions and filed an affidavit of service on 10.02.2021.



25. This Tribunal has also perused the response received from Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi along with the report of Registrar of Companies annexed with the response of Regional Director, as also the report of the Official Liquidator, Allahabad and the Income Tax authorities.

26. The Regional Director, Northern Region, as also the Official Liquidator has made the following observations in their affidavits:

(i) The merger of Sunrise Foods Private Limited (SFPL) with ITC Limited to be filed, approved by the Hon'ble Tribunal of Kolkata Bench, West Bengal and to be effected.

(ii) The ITC Limited have to re-cast its financial statements by giving effects of the above merger and make it audited.

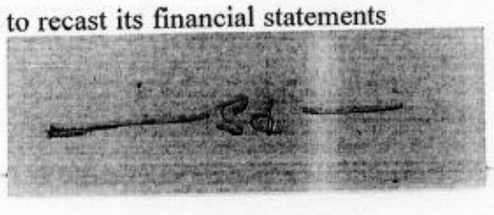
(iii) The ITC Limited may disclose in the affidavit the latest financial position (of the merged entity (i.e. POST MERGED ITC) and auditor's report laid down under Section 23(2) (a) of the Act, hence the scheme requires modification.

(iv) The ITC Limited may convene the meeting of creditors by following the procedures laid down under the provisions of Section 230(3) of the Act.

(v) The Scheme may be suitably modified to give effect of the matter state above in para (ii), (iii) and (iv) as stated in clause (a) above.

27. The Petitioner Companies have submitted a reply affidavit on 09.07.2021 to the Regional Director's report. The Counsel for the Petitioner/Transferor Companies, while responding to the above observations made by the Regional Director (Northern Region), invited the attention of the Tribunal to the order dated February 26, 2021 by the Kolkata Bench of the Tribunal in Company Petition (CAA) No. 6/KB/2021 connected with Company Application (CAA) No. 1158/KB/2020, approving the amalgamation of Sunrise Foods Private Limited with ITC Limited and appended as Annexure 1 to the reply affidavit filed on 09.07.2021. The Counsel submitted that the first objection pointed by the office of the Regional Director (Northern Region) stands complied with.

28. Referring to points (ii), (iii) and (iv) raised by the Regional Director (Northern Region), the Counsel submitted that in view of specific findings recorded by this Tribunal in order dated January 08, 2021 passed in Company Application No. 273/ALD/2020, as also the dispensation granted by this Tribunal to the Transferee Company, there is no requirement for ITC Limited to recast its financial statements



or convene a meeting of its creditors. The Counsel stated that the amalgamation of Sunrise Foods Private Limited with ITC Limited has no impact on the circumstances in the present Scheme. The Counsel further stated that the Appointed Date of both the Schemes of Amalgamation (the one between Sunrise Foods Private Limited with ITC Limited and the other between the present Petitioner Companies with ITC Limited) being the same, the present Petitioner/Transferor companies shall stand amalgamated at the same point in time as the amalgamation of Sunrise Foods Private Limited with the Transferee Company, there being no point thereafter at which the financial statements of the Transferee Company and Sunrise Foods Private Limited shall not include the financial statements of the present Petitioner Companies. Counsel further submitted that merely because this was a case of step-down merger would not make any difference.

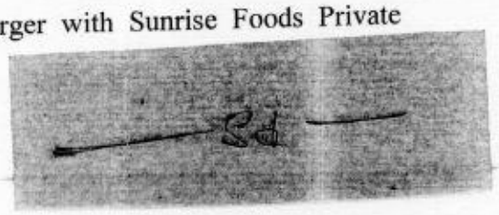
29. The report of the Registrar of Companies, Kanpur appended to the report of the Regional Director, Northern Region does not raise any substantial objection to the Scheme of Arrangement.

30. The Tribunal also examined the report of the Income Tax Department, in which it is stated that the Income Tax Department has no objection to the Scheme of Amalgamation of the Petitioner companies into the Transferee Company pursuant to provisions of Section 230-232 of the Companies Act, 2013 and other applicable Sections and Rules thereunder.

31. From the submissions made above, this Tribunal finds that the objection raised by the Regional Director (Northern Region) in point (i) has been complied with.

32. On the objections raised in points (ii), (iii), (iv), and (v) by the Regional Director, the Tribunal finds that the Scheme of Amalgamation has no effect on the creditors of the Transferee Company and this was considered while passing the order dated 08.01.2021 in Company Application 273/ALD/2020, wherein the Transferee Company was granted permission not to file any application/petition under Section 230/232 in relation to the present Scheme of Amalgamation. The Regional Director seems to have overlooked the effect of the order passed by this Tribunal on 08.01.2021 in Company Application 273/ALD/2020 and accordingly, there is no need to convene a meeting of the creditors of the Petitioner Companies.

33. In so far as the disclosure of the latest financial position of the Transferee Company and re-casting its financial statements after merger with Sunrise Foods Private



Limited is concerned, the Tribunal agrees with the submissions of the Counsel that there is no possibility of the financial statements of the Transferee Company and Sunrise Foods Private Limited differing from the financial statements of the Transferee Company after merger with the present Petitioner Companies at any point in time as the Appointed Date and time is the same. Accordingly, the observations made by the Regional Director (Northern Region) regarding recasting of financial statements of ITC Limited after the amalgamation of Sunrise Foods Private Limited with it, independent of the amalgamation of the present Petitioner/Transferor companies with ITC Limited, do not merit acceptance.

34. This Tribunal is satisfied that all the statutory compliances have been carried out. Therefore, the present Petition deserves to be allowed in terms of its Prayer clause.

35. In the result, the Scheme of Amalgamation annexed as Annexure-1 to the Company Petition is duly approved and hereby sanctioned. Petitioner/Transferor Companies to act upon as per terms and conditions of the sanctioned Scheme of Amalagamation and the same to be binding upon the shareholders, secured creditors and unsecured creditors of the above-named Companies with effect from the appointed date

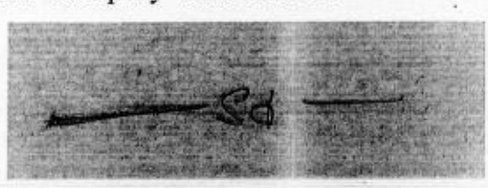
36. In view of the facts stated above, the following orders are passed:-

i. The Scheme of Amalgamation amongst HOBBITS INTERNATIONAL FOODS PRIVATE LIMITED (Petitioner Company No. 1/ "Transferor Company 1"); SUNRISE SHEETGRAH PRIVATE LIMITED (Petitioner Company No. 2/ "Transferor Company 2") with ITC Limited ("Transferee Company") is hereby approved and sanctioned.

ii. Upon this Scheme becoming effective, the Transferor Companies shall, without any requirement of a further act or deed, stand dissolved without being wound up without any requirement for any further act by the Companies, in accordance with the Companies Act, 2013;

iii. Upon this Scheme becoming effective, the respective names of the Transferor Companies (Petitioner Company Nos. 1 and 2) shall be struck off from the records of the Registrar of Companies and the Transferor Companies and Transferee Company shall make necessary filings in this regard;

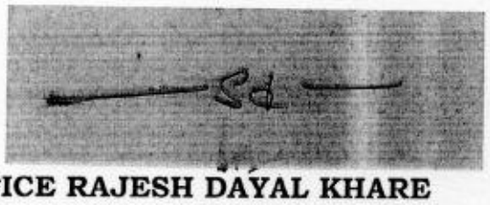
iv. Upon this Scheme becoming effective, the Transferee Company shall not be required to add "and reduced" as a suffix to its name;



v. Petitioner companies are granted leave to file the Schedule of Assets within a period of one month from the date on which final orders are pronounced by the Tribunal on this petition;

vi. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy thereof to be delivered to the Registrar of Companies for registration in terms of Section 230-232 of the Companies Act, 2013 read with National Company Law Tribunal Rules, 2016 along with The Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In view of the above mentioned directions the Company Petition bearing No. 02/ALD/ 2021 is accordingly, disposed off.



JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date:30.07.2021

Swati Gupta
(LRA)